

Bank of China (BOCHK) (2388)

Superior TSR to support relative outperformance, upgrade to OW

We are upgrading BOCHK to OW from Neutral with a new Dec-27 PT of HK\$53.3. We revise up our earnings forecasts by 8/9% for FY26/27E and expect continued share price outperformance in the coming 6-12 months on the back of valuations remaining reasonable and superior total shareholder returns (TSR).

- **Resilient NIM migration to support NII.** With a more hawkish tone from the FED interest rate meeting and rising forward yield curve at both SOFR and HIBOR in the coming 12-18 months, we now expect BOCHK to sustain its NIM at around 1.6% (adjusted basis by including swaps revenues) throughout FY26 and FY27 compared to our previous forecast of a 3-4bps sequential YoY decline in the next two years. This would allow NII to grow at high single-digits in FY26.
- **Receding overhang from HK CRE exposure.** Both the industry data and our discussions with management suggest no material new delinquent formation in the HK CRE portfolio in 1H26, thus we expect BOCHK to enjoy lower credit costs YoY in 1H26 and FY26. A sequential decline in credit costs would be an earnings tailwinds in FY26-28.
- **Shareholder return program likely a share price catalyst.** The market has priced in expectations of TSR enhancement measures, via either a share buyback or special DPS, equivalent to a 1.0-1.5% yield on top of the ordinary DPS. Our analysis suggests BOCHK has the capacity to reward shareholders with up to a 3% yield in each year FY26-28 while still maintaining CET1 ratios superior to the industry average. Our base case is a special DPS of HK\$0.95 each year, adding another 2ppt to the TSR.
- **Upgrade to OW.** Our new PT is based on 1.4x P/B and by moving forward our valuation base to Dec-27; our valuation multiple is justified by our 13% ROE estimates for FY26 and FY27. The share price has outperformed HSI by 29% YTD but current levels still imply potential upside to our fair value and close to 8% TSR, so we expect continued share price outperformance in the coming 6-12 months. Risks to our call are a potential downgrade on Vanke-related lending that results in more meaningful cost increases or more adverse ODI rule changes that dampen market sentiment.

▲ Overweight

Previous: Neutral

2388.HK, 2388 HK

Price (23 Jul 26): HK\$48.36

▲ Price Target (Dec-27): HK\$53.30

Prior (Dec-26): HK\$43.30

Hong Kong

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (HK\$)	4.16	4.49	7.8%
Adj. EPS - 27E (HK\$)	4.49	4.90	9.1%

Style Exposure

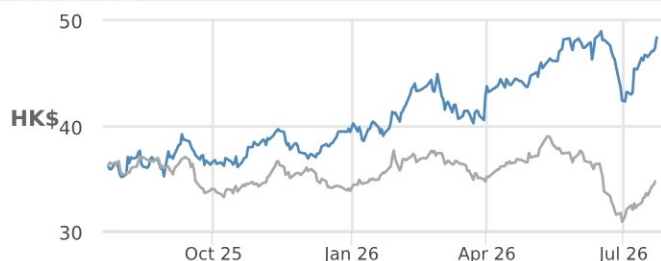
Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	60	49	49	35	55
Growth	28	32	63	34	32
Momentum	25	42	16	79	68
Quality	13	9	36	13	11
Low Vol	15	12	13	15	9
ESGQ	24	20	91	86	18

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 5 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



— 2388.HK Price (HK\$) — R-CHIP (rebased)

	YTD	1m	3m	12m
Abs	22.7%	2.9%	9.4%	33.6%
Rel	20.1%	-3.1%	15.0%	37.6%

Company Data

Shares O/S (mn)	10,573
52-week range (HK\$)	49.36-34.80
Market cap (\$ mn)	65,209
Exchange rate	7.84
Free float (%)	33.9%
3M ADV (mn)	13.12
3M ADV (\$ mn)	77.3
Volatility (90 Day)	24
Index	HSCCI
BBG ANR (Buy Hold Sell)	13 4 1

Key Metrics (FYE Dec)

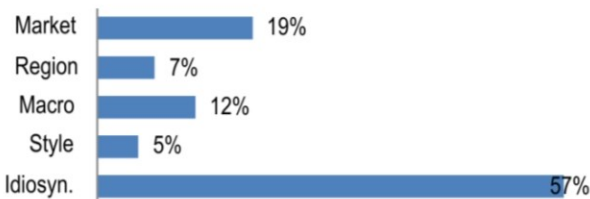
HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	52,911	58,021	61,860	68,438
Non interest income	24,108	25,226	26,694	28,168
Operating expenses	(18,193)	(19,019)	(20,116)	(21,286)
Adj. PPOP	58,826	64,228	68,438	75,321
Provision for loan losses	(8,294)	(6,185)	(5,627)	(5,054)
Adj. PBT	48,574	57,551	62,822	70,284
Adj. net income	40,121	47,455	51,793	57,969
Adj. EPS	3.79	4.49	4.90	5.48
BBG EPS	3.72	3.98	4.24	4.52
DPS	2.12	2.56	2.84	3.23
Loans	1,697,030	1,782,918	1,890,330	2,004,769
Deposits	2,933,502	3,168,182	3,389,955	3,627,252
Total Assets	4,489,809	4,795,763	5,090,592	5,405,018
Margins and Growth				
NIM	1.4%	1.4%	1.4%	1.5%
Ratios				
Loan/ Deposit ratio	58.5%	56.9%	56.3%	55.8%
NPL / Loans	1.1%	1.1%	1.0%	0.9%
Coverage	95.9%	99.0%	105.9%	113.7%
CET 1	-	-	-	-
Non-int. income/ Income	31.3%	30.3%	30.1%	29.2%
Cost/Income	23.6%	22.8%	22.7%	22.0%
LLP/Loans	(0.5%)	(0.4%)	(0.3%)	(0.3%)
ROA	0.9%	1.0%	1.0%	1.1%
ROE	11.5%	12.9%	13.2%	14.0%
Valuation				
Dividend yield	4.4%	5.3%	5.9%	6.7%
Adj. P/E	12.7	10.8	9.9	8.8
P/BV	1.4	1.3	1.3	1.2

Summary Investment Thesis and Valuation

We are OW on BOCHK. We see upside to consensus earnings for FY26 and FY27 given more favorable NIM migration and lower credit costs and non-operating losses. The share price has outperformed HSI given receding asset quality concerns and rising expectation on TSR enhancement measures, but current share price levels still imply potential upside to our fair value and close to a 8% TSR, so we expect continued share price outperformance in the coming 6-12 months.

Our Dec-27 PT of HK\$53.3 is based on an FY27E P/BV of 1.4x. We believe this multiple is justified by an ROE outlook of 13%. Our PT implies an FY27E P/E of 10.9x.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.50	0.43
Region: Hong Kong	0.36	0.29
Macro:		
Emerging Economies CPI(YoY)	0.41	0.29
JPM Global Equity Sentiment	-0.33	-0.23
Markit EM Composite PMI SA	-0.39	-0.23
Quant Styles:		
LowVol	0.18	0.23
DivYld	0.22	0.23
Quality	0.01	0.21

Investment Thesis, Valuation and Risks

Bank of China (Hong Kong) *(Overweight; Price Target: HK\$53.30)*

Investment Thesis

We are OW on BOCHK. We see upside to consensus earnings for FY26 and FY27 given more favorable NIM migration and lower credit costs and non-operating losses. The share price has outperformed HSI given receding asset quality concerns and rising expectation on TSR enhancement measures, but current share price levels still imply potential upside to our fair value and close to a 8% TSR, so we expect continued share price outperformance in the coming 6-12 months

Valuation

Our Dec-27 PT of HK\$53.3 is based on an FY27E P/BV of 1.4x. We believe a 1.4x multiple is justified by an ROE outlook of 13%. Our PT implies an FY27E P/E of 10.9x.

Risks to Rating and Price Target

Downside risks to our rating and price target include:

- Downgrade on Vanke related lending that results in more meaningful increases in credit costs.
- More adverse ODI rule changes that dampen market sentiment.
- Weaker-than-expected HIBOR trend that causes further NIM contraction.

Upside catalysts include:

- Potential SBB/special DPS to enhance total shareholder returns.
- Better-than-expected NIM expansion and a sharp increase in HIBOR.
- Stronger syndication/WM flows to support fee income momentum.

Bank of China (BOCHK) (2388): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	139,439	120,355	116,990	124,724	137,136	Cash and cash equivalents	0	0	0	0	0
Interest expense	(87,105)	(67,444)	(58,969)	(62,864)	(68,697)	Deposits with banks	734,766	634,525	634,525	666,251	699,564
Net interest income	52,334	52,911	58,021	61,860	68,438	Net loans	1,661,926	1,697,030	1,782,918	1,890,330	2,004,769
Non interest income	18,919	24,108	25,226	26,694	28,168	PP&E	38,242	33,770	34,783	35,827	36,901
o/w Fee income	9,893	11,269	12,160	13,402	14,666	Net intangibles	0	0	0	0	0
o/w Trading income	10,483	15,095	15,707	16,221	16,752	LT investments	1,530,192	1,797,224	1,997,938	2,132,995	2,277,655
Net revenues	71,253	77,019	83,247	88,553	96,607	Other assets	229,282	327,260	345,598	365,190	386,129
Non interest expense	(17,494)	(18,193)	(19,019)	(20,116)	(21,286)	Total assets	4,194,408	4,489,809	4,795,763	5,090,592	5,405,018
o/w Employee costs	(11,470)	(12,066)	(12,769)	(13,532)	(14,347)	Interest earning assets	4,029,939	4,313,004	4,613,693	4,903,101	5,211,944
Pre-Prov. Profits	53,759	58,826	64,228	68,438	75,321						
Provisions	(5,082)	(8,294)	(6,185)	(5,627)	(5,054)	Deposits	2,713,410	2,933,502	3,168,182	3,389,955	3,627,252
Adj. PBT	46,754	48,574	57,551	62,822	70,284	Borrowings	647,544	668,427	686,207	704,521	723,384
Income taxes	(7,636)	(7,385)	(8,920)	(9,737)	(10,894)	Other liabilities	491,224	524,405	555,633	586,538	619,280
Minority interest	(885)	(1,068)	(1,175)	(1,292)	(1,422)	Total liabilities	3,852,178	4,126,334	4,410,022	4,681,013	4,969,916
Adj. Net profit	38,233	40,121	47,455	51,793	57,969	Shareholder equity	338,716	358,528	379,619	402,165	426,267
						Minority interests	3,514	4,947	6,122	7,414	8,836
PPOP per share	5.08	5.56	6.07	6.47	7.12	Total liabilities and Shareholder equity	4,194,408	4,489,809	4,795,763	5,090,592	5,405,018
Reported EPS	3.62	3.79	4.49	4.90	5.48	Interest bearing liabilities	3,360,954	3,601,929	3,854,389	4,094,476	4,350,635
Adj. EPS	3.62	3.79	4.49	4.90	5.48						
						Book Value Per Share	32.04	33.91	35.91	38.04	40.32
DPS	1.99	2.12	2.56	2.84	3.23	Tangible Book Value Per Share	32.37	34.38	36.48	38.74	41.15
Diluted shares outstanding	10,573	10,573	10,573	10,573	10,573						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	61.8%	58.5%	56.9%	56.3%	55.8%	Loan loss reserves/Loans	(0.9%)	(1.1%)	(1.1%)	(1.0%)	(1.0%)
Investment/Assets	36.4%	38.3%	40.9%	41.8%	42.0%	NPLs/Loans	1.1%	1.1%	1.1%	1.0%	0.9%
Loan/Assets	41.9%	39.1%	37.9%	37.5%	37.5%	Loan loss reserves/NPLs	83.7%	90.6%	97.5%	102.4%	109.7%
Customer deposits/Liabilities	70.4%	71.1%	71.8%	72.4%	73.0%	NPL y/y growth	(0.8%)	10.8%	0.0%	(5.0%)	(5.0%)
LT debt/Liabilities	17.7%	16.5%	15.9%	15.3%	14.8%	Tier 1 ratio	19.3%	22.2%	22.2%	22.2%	22.3%
						CAR	22.0%	26.0%	24.6%	24.6%	24.5%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.5%	1.4%	1.4%	1.4%	1.5%	Return on equity (ROE)	11.6%	11.5%	12.9%	13.2%	14.0%
Non interest income/Net revenue	26.6%	31.3%	30.3%	30.1%	29.2%	Return on assets (ROA)	0.9%	0.9%	1.0%	1.0%	1.1%
Non interest income/Avg. Assets	0.5%	0.6%	0.5%	0.5%	0.5%	Operating ROA	1.2%	1.2%	1.3%	1.3%	1.3%
Efficiency ratio	24.6%	23.6%	22.8%	22.7%	22.0%	Pre-Tax ROA	1.2%	1.1%	1.2%	1.3%	1.3%
Leverage ratio	6.4%	6.3%	6.3%	6.3%	6.3%	Pre-Provision ROA	1.3%	1.4%	1.4%	1.4%	1.4%
Revenue/Assets	1.8%	1.8%	1.8%	1.8%	1.8%	Tax rate	16.3%	15.2%	15.5%	15.5%	15.5%
RORWA	2.9%	3.1%	3.7%	3.8%	4.0%						
						Net loans y/y growth	(1.5%)	2.1%	5.1%	6.0%	6.1%
RWA	1,331,828	1,231,680	1,315,612	1,396,492	1,482,747	Assets y/y growth	8.4%	7.0%	6.8%	6.1%	6.2%
Avg. RWA	1,315,392	1,281,754	1,273,646	1,356,052	1,439,619	RWA y/y growth	2.5%	(7.5%)	6.8%	6.1%	6.2%
Avg. IEA	3,577,886	3,770,340	4,034,150	4,300,827	4,571,188	Deposits y/y growth	8.5%	8.1%	8.0%	7.0%	7.0%
Gross Loans	1,676,886	1,715,787	1,802,286	1,910,016	2,024,837	Net interest income y/y growth	2.5%	1.1%	9.7%	6.6%	10.6%
Avg. IBL	3,262,316	3,481,442	3,728,159	3,974,432	4,222,555	Revenues y/y growth	8.8%	8.1%	8.1%	6.4%	9.1%
LLR	(14,960)	(18,757)	(19,368)	(19,685)	(20,068)	Adj. EPS y/y growth	16.8%	4.9%	18.3%	9.1%	11.9%
NPLs	17,652	19,558	19,558	18,580	17,651	BVPS y/y growth	5.8%	5.8%	5.9%	5.9%	6.0%
P/BV (x)	1.5	1.4	1.3	1.3	1.2	IE assets/Assets	88.7%	86.8%	86.9%	87.0%	87.1%
Adj. P/E (x)	13.4	12.7	10.8	9.9	8.8	Margins (as % of Avg. Assets)	1.2%	1.1%	1.1%	1.1%	1.2%
Dividend yield	4.1%	4.4%	5.3%	5.9%	6.7%	LLP/Loans	(0.3%)	(0.5%)	(0.4%)	(0.3%)	(0.3%)
Dividend payout	55.0%	56.0%	57.0%	58.0%	59.0%	Equity/Assets	8.2%	8.0%	7.9%	7.9%	7.9%
						Cost/Assets	0.4%	0.4%	0.4%	0.4%	0.4%
						Assets/Equity	12.2	12.5	12.6	12.6	12.7

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Dec

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Bank of China (BOCHK) (2388) (2388.HK, 2388 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 18, 2003. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

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